

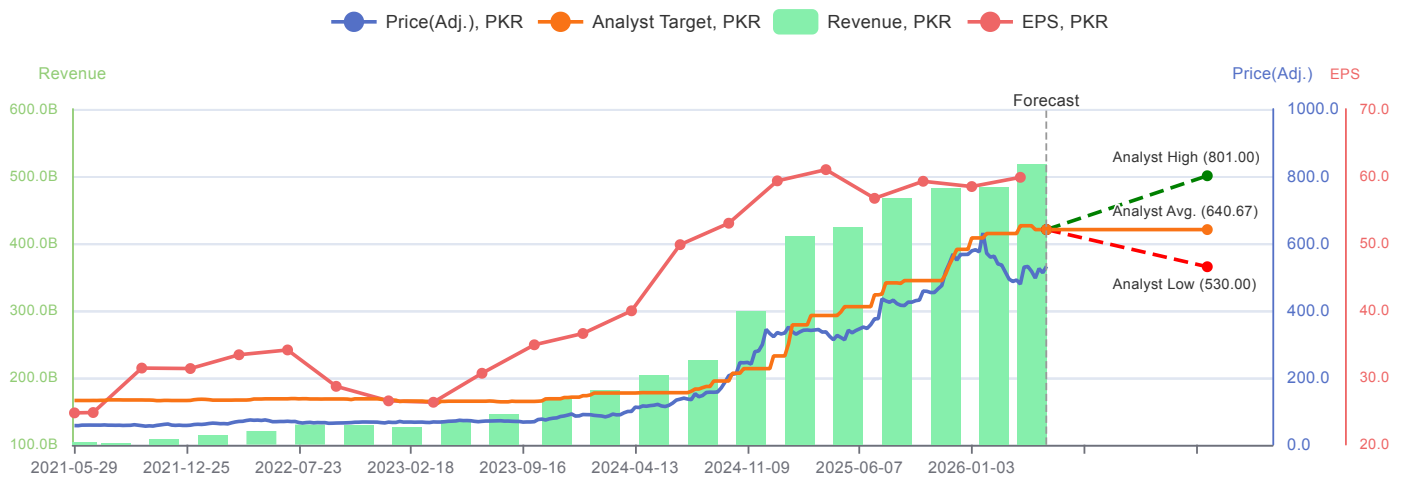
Key Indicators:

🕒 Date: May 27, 2026

Stock Price **PKR541.7**

52-Week Range	PKR328.5 - PKR663.5	EPS Revisions (90d)	↑ - ↓ -	Revenue	PKR517.7B
Market Cap	PKR779.6B	PEG Ratio	-4.87	Revenue Forecast	PKR475.6B
P/E Ratio	9.13	FCF Yield	8.38	1-Year Change	64.0%
P/E (Fwd.)	8.62	EV / EBITDA	4.40	Div Yield	7.11%
EPS Actual	51.7	Book / Share	189.8	Div. Growth Streak	5 years
EPS Estimate	62.9	Beta (5Y)	0.25	Next Earnings	2026-07-27

5-Year Chart



Executive Summary

Warren AI

Fauji Fertilizer Company Ltd (PSX:FAUF) is Pakistan's largest fertilizer manufacturer, specializing in urea and DAP production, commanding approximately **48% market share in urea and 62% in DAP** through its "Sona" brand that enjoys strong farmer loyalty across the domestic market.

Market Position and Recent Performance: The company demonstrates exceptional financial performance with a **9/10 profitability rating** and revenue of PKR 517.66 billion, though revenue forecasts suggest a decline to PKR 475.63 billion. FFC achieved net profits of PKR 73.6 billion in FY25, translating to **EPS of 51.69 PKR**. The stock has delivered impressive returns with a 64% one-year gain and maintains a **strong buy** technical rating, currently trading at 541.73 PKR against a fair value of 624.93 PKR, indicating 15% upside potential.

Financial Health: The company exhibits robust financial metrics with a **low P/E ratio of 9.13**, declining to 8.62 forward, and a conservative debt-to-equity ratio of 0.22. FFC holds more cash than debt and generates strong free cash flow (FCF yield of 8%). The amalgamation with FFBL in late CY24 created significant operational synergies and eliminated double taxation, boosting capitalization from PKR 144 billion in FY23 to PKR 840.6 billion in FY25.

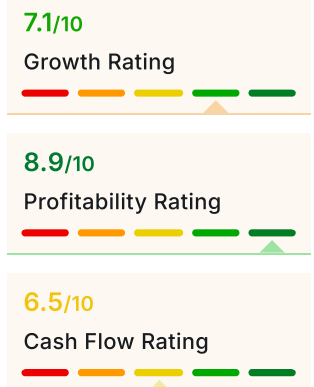
Shareholder Returns: FFC offers attractive income with a **7% dividend yield** and has raised dividends for 5 consecutive years while maintaining payments for 32 years. The company diversifies beyond fertilizers with strategic investments generating PKR 22 billion in subsidiary dividend income.

Key Risks: The company faces significant concentration risk with heavy reliance on urea production and the Pakistani market. Critical dependency on subsidized indigenous gas exposes profitability to regulatory policy changes. Macroeconomic volatility in Pakistan, geopolitical tensions affecting supply chains, and potential shifts away from urea-centric agricultural policies present substantial headwinds.

Fair Value

Upside	15.4%
Fair Value	PKR624.9

Financial Health



Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	31/12	31/12	31/12	31/12	31/12
Capitalization	PKR144.0B	PKR466.0B	PKR840.6B	PKR779.6B	PKR779.6B
P/E Ratio	3.25	6.35	10.1	8.62	8.53
Div. Yield	17.0	0	8.65	7.11	-
Capitalization / Revenue	0.86	1.56	1.74	1.64	1.54
EV / Revenue	-0.01	0.96	1.22	1.08	1.01
EV / EBITDA	-0.05	3.09	5.60	5.04	4.76
EV / FCF	1.33	9.97	7.93	-	-
FCF Yield	32.3	13.6	8.81	-	-
Price / Book	1.01	2.57	3.35	2.85	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

🦖 Holds more cash than debt on its balance sheet

🦖 Has raised its dividend for 5 consecutive years

🦖 Trading at a low earnings multiple

🦖 Pays a significant dividend to shareholders

🦖 Prominent player in the Chemicals industry

🦖 Has maintained dividend payments for 32 consecutive years

🦖 High return over the last year

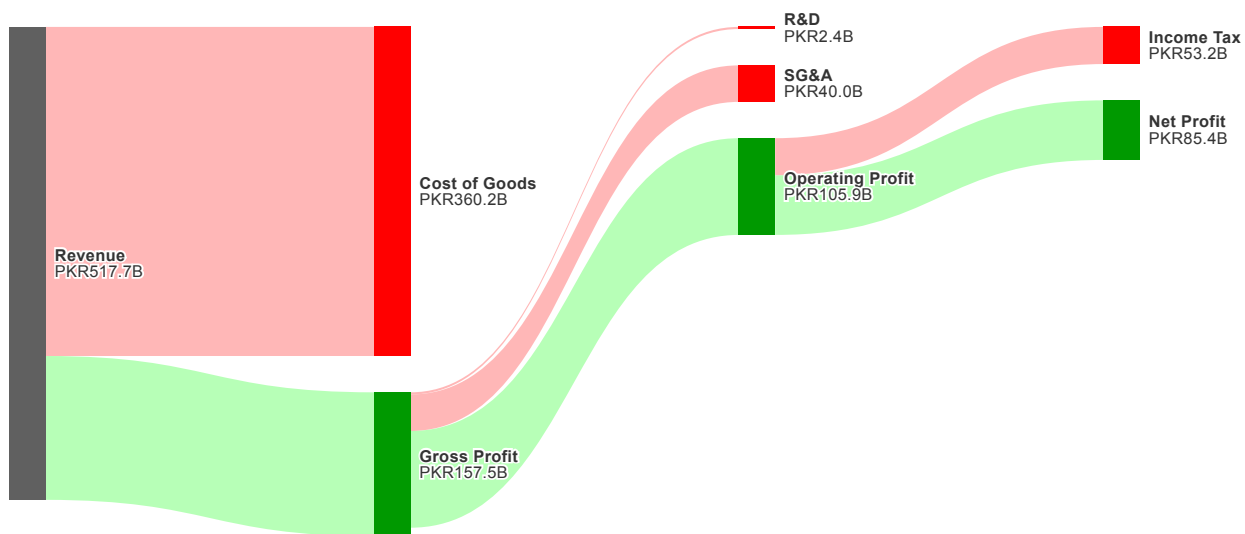
🦖 Analysts predict the company will be profitable this year

🦖 Profitable over the last twelve months

🦖 High return over the last decade

🦖 Strong return over the last five years

Y LTM Financials:



* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	125,678	181,382	411,254	483,807	517,663
Operating Income	35,410	54,462	99,103	99,433	105,877
Net Income to Stockholders	33,745	46,511	84,379	83,170	85,364
Shares Outstanding	1,272	1,272	1,272	1,423	1,439
Diluted EPS	26.5	36.6	59.3	58.4	59.8
EBITDA	39,344	58,573	105,204	109,428	116,351

Balance Sheet

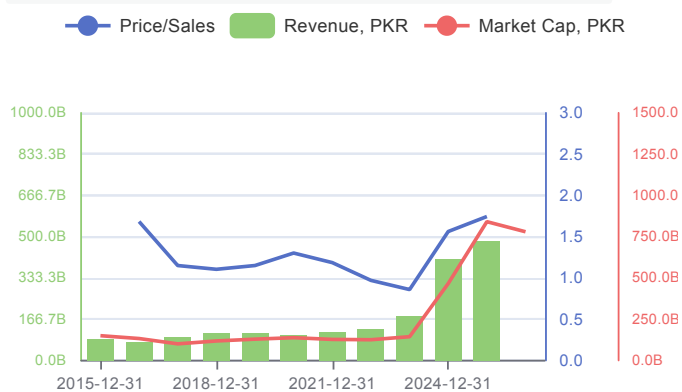
Date	2022	2023	2024	2025	LTM
Total Current Assets	179,685	155,362	328,723	327,864	314,303
Total Assets	327,918	327,052	573,683	613,298	618,446
Total Current Liabilities	169,998	143,308	262,256	257,901	252,267
Total Liabilities	206,372	176,968	328,792	348,493	342,080
Total Equity	121,545	150,083	244,890	264,805	276,366
Total Debt	87,110	41,340	78,600	84,966	83,736

Cash Flow Statement

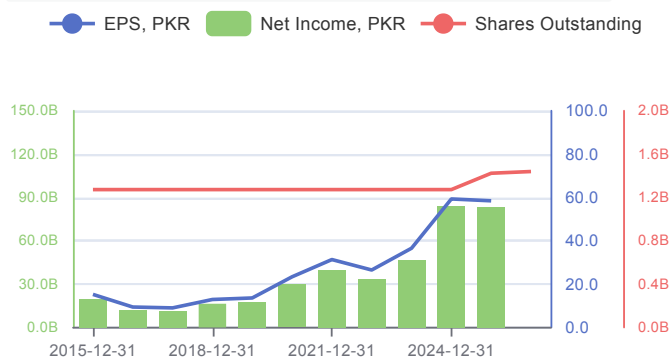
Date	2022	2023	2024	2025	LTM
Cash from Operations	7,790	72,099	128,432	53,550	103,480
Cash from Investing	3,299	-11,898	-14,986	-13,192	-22,198
Cash from Financing	-22,627	-21,704	-35,612	-48,638	-48,548
Levered Free Cash Flow	0.0	0.1	0.1	0.0	0.1

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

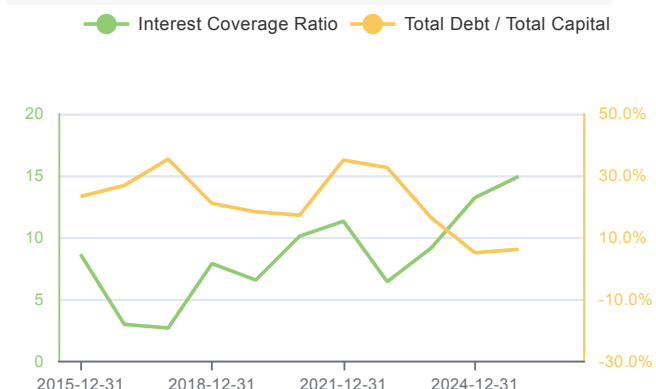
Revenue, Market Cap, Price/sales



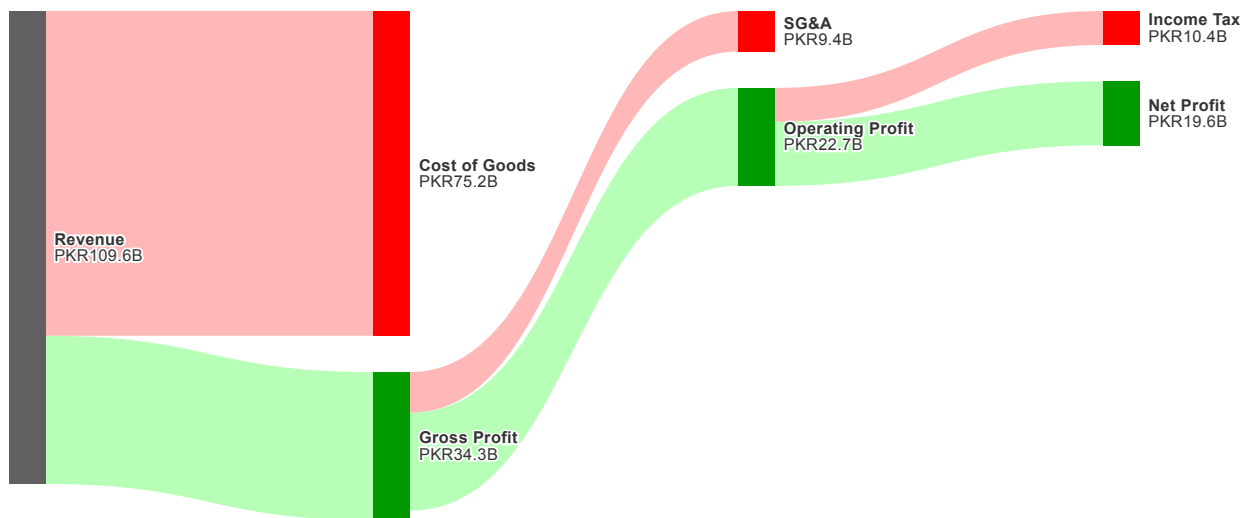
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Revenue	75,697	106,594	140,204	161,310	109,553
Operating Income	16,250	24,186	32,189	26,827	22,694
Net Income to Stockholders	17,400	19,683	24,534	21,551	19,594
Shares Outstanding	1,423	1,423	1,423	1,423	1,439
Diluted EPS	12.2	14.3	17.2	15.1	13.6
EBITDA	18,583	26,583	34,728	29,549	25,505

Balance Sheet

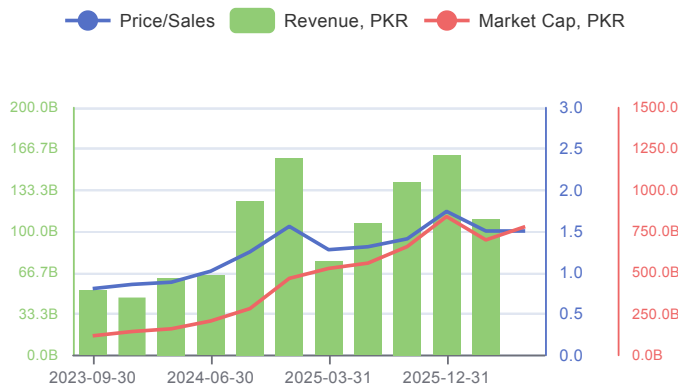
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Total Current Assets	277,241	285,797	299,386	327,864	314,303
Total Assets	528,481	539,697	570,602	613,298	618,446
Total Current Liabilities	231,460	237,078	253,246	257,901	252,267
Total Liabilities	296,673	298,094	314,588	348,493	342,080
Total Equity	231,808	241,603	256,014	264,805	276,366
Total Debt	55,963	67,943	55,873	84,966	83,736

Cash Flow Statement

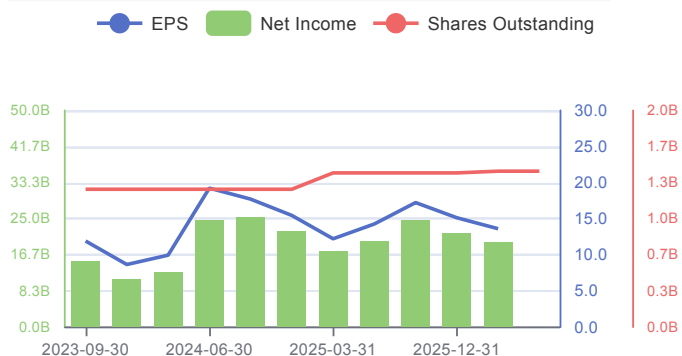
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Cash from Operations	-34,265	10,721	47,030	33,925	15,664
Cash from Investing	-845.5	-8,462	-1,659	-6,086	-9,852
Cash from Financing	-14,039	-30,295	-18,885	14,582	-13,950
Levered Free Cash Flow	-0.0	0.0	0.0	0.0	-1,476

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

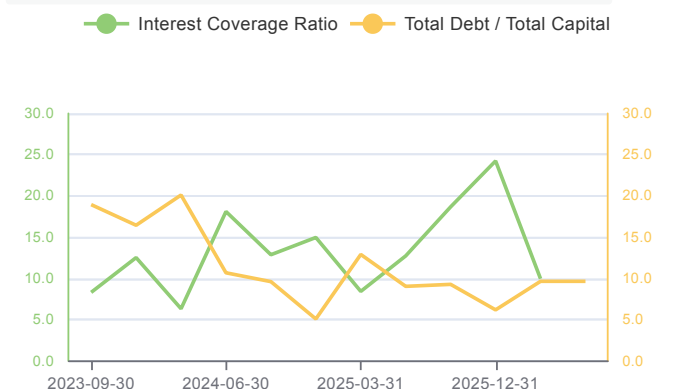
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

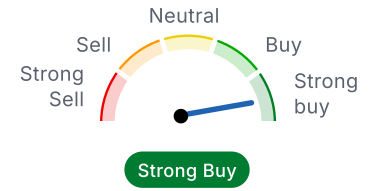
Price Momentum

Metric	FFC	Percentile	Score
Price % of 52 Week High	81.7%	67.0%	3.3
1 Week Price Total Return	4.6%	82.5%	4.1
2 Week Price Total Return	4.3%	83.0%	4.1
3 Week Price Total Return	4.0%	77.3%	3.9
1 Month Price Total Return	4.9%	71.8%	3.6
3 Month Price Total Return	1.2%	59.5%	3.0
6 Month Price Total Return	-5.7%	35.2%	1.8
1 Year Price Total Return	64.0%	80.2%	4.0
2 Year Price Total Return	362.1%	97.4%	4.9
3 Year Price Total Return	655.8%	100%	5
4 Year Price Total Return	658.0%	98.2%	4.9
5 Year Price Total Return	867.0%	97.3%	4.9

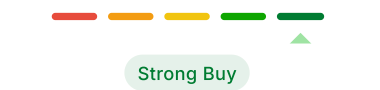
Peers

FATIMA	ENGROH
73.9%	88.5%
6.7%	4.4%
3.1%	-1.0%
-0.4%	-5.9%
2.8%	-5.0%
-12.7%	-1.4%
-7.8%	23.2%
70.7%	50.1%
227.9%	76.5%
563.9%	194.2%
462.9%	295.5%
683.1%	258.9%

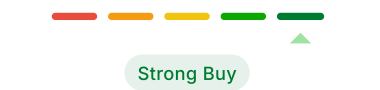
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	FFC	FATIMA	ENGROH
Market Cap	PKR779.6B	PKR293.7B	PKR322.3B
Price % of 52 Week High	79.1%	72.5%	88.5%
Div Yield	7.11%	4.29%	0%
Beta	0.25	0.40	0.07
1 Year Return	64.0%	70.7%	50.1%

Growth Metrics

Metric	FFC	FATIMA	ENGROH
Revenue Growth	21.9%	11.6%	24.0%
Revenue CAGR (5y)	36.3%	31.1%	19.2%
Net Income Growth	-4.32%	1.50%	401.7%
Net Income CAGR (5y)	22.8%	25.9%	49.0%
Revenue Forecast CAGR (5y)	-2.07%	2.57%	0.06%
Net Income Forecast CAGR (5y)	4.00%	7.92%	6.15%

Financial Statement Metrics

Metric	FFC	FATIMA	ENGROH
Revenue	PKR517.7B	PKR271.1B	PKR629.1B
Gross Profit	PKR157.5B	PKR92.0B	PKR152.6B
Operating Income	PKR105.9B	PKR54.7B	PKR120.8B
Gross Profit Margin	30.4	33.9	24.3
Net Income to Common	PKR85.4B	PKR36.9B	PKR64.0B
ROE	34.1	22.7	34.2
ROI	21.9	15.7	14.1
ROA	15.2	11.4	12.7
Total Assets	PKR618.4B	PKR331.4B	PKR1.1T
Total Debt	PKR83.7B	PKR44.3B	PKR425.2B

Valuation Metrics

Metric	FFC	FATIMA	ENGROH
P/E Ratio (LTM)	9.13	7.95	5.03
PEG Ratio	-4.87	5.31	0.03
Price / Book	2.85	1.70	1.47
Price / LTM Sales	1.51	1.08	0.51
Analyst Upside	15.6%	25.1%	31.1%
Fair Value Upside	15.4%	2,753.0%	695.0%

Latest Insights

WarrenAI

🐂 Bull Case

- FFC commands dominant market position with 48% urea and 62% DAP market share in Pakistan, supported by the highly-regarded "Sona" brand that creates significant barriers to entry and pricing power.
- Access to subsidized indigenous gas from Mari Fields provides substantial cost advantage, keeping domestic production costs far below international prices (PKR 4,400 vs PKR 13,700-14,700 per bag).
- Strong financial performance with PKR 73.6 billion net profit in FY25, robust margins (32-35% gross, 22%+ operating), and excellent profitability rating of 9/10 with low debt-to-equity of 0.22.
- Exceptional shareholder returns with 7% dividend yield, 5-year consecutive dividend growth streak, 32 years of maintained payments, and 64% one-year stock appreciation with strong technical buy signals.
- Strategic diversification through FFBL amalgamation creating operational synergies, PKR 22 billion subsidiary dividend income, and investments in cement, banking, energy, and food sectors enhancing resilience.

🐻 Bear Case

- Heavy product and geographic concentration with over-reliance on urea production in saturated Pakistani market limits growth prospects and exposes company to localized sovereign and economic risks.
- Critical dependency on government gas allocation policy and subsidized pricing creates significant regulatory risk, with any adverse policy changes threatening to severely impact cost structure and profitability.
- Revenue forecasts declining from PKR 517.66 billion actual to PKR 475.63 billion projected, with EPS estimates of 62.87 PKR exceeding actual 51.69 PKR, indicating potential performance headwinds.
- Macroeconomic instability in Pakistan characterized by high inflation and currency depreciation impacts farmer purchasing power, while government's PKR 450-500 billion subsidy burden creates fiscal stress and policy uncertainty.
- Geopolitical risks from Middle East tensions threaten supply chains, particularly for imported DAP raw materials, while domestic urea price gaps incentivize cross-border smuggling, draining domestic supply.

Additional Insights

- Technical analysis shows strong buy signals across moving averages and indicators, with stock trading at 541.73 PKR against fair value of 624.93 PKR (15% upside), within 52-week range of 328.47-663.47 PKR.
- Analyst targets range from 530 PKR (low) to 801 PKR (high) with 640.67 PKR median, suggesting consensus upside potential of 18% from current levels.
- Forward P/E ratios remain attractive at 8.62 (FY26), 8.53 (FY27), and 7.71 (FY28), with EPS growth projected at 22% in FY26, 1% in FY27, and 12% in FY28.
- Company demonstrates exceptional operational efficiency with 112% capacity utilization for urea and 124% for DAP in FY25, significantly above industry norms.
- Beta of 0.25 indicates low volatility and defensive characteristics, making FFC attractive for risk-averse investors seeking stable returns in Pakistan's volatile market environment.
- Lack of green ammonia initiatives compared to global peers may limit participation in clean energy transition and long-term strategic growth opportunities in emerging sustainable agriculture markets.

SWOT Analysis

WarrenAI

Strengths

- Market leader with 48% urea and 62% DAP market share backed by highly-trusted "Sona" brand commanding strong farmer loyalty and extensive distribution network.
- Competitive cost advantage from subsidized indigenous gas access significantly below RLNG and imported alternatives, supporting superior margins.
- Exceptional financial health with 9/10 profitability rating, holds more cash than debt, low 0.22 debt-to-equity ratio, and strong 8% FCF yield.
- Outstanding shareholder returns: 7% dividend yield, 5-year dividend growth streak, 32 years of consecutive payments, and 64% one-year stock appreciation.
- Diversified income streams generating PKR 22 billion from strategic investments in power, cement, banking, and food sectors, reducing reliance on core fertilizer business.

Weaknesses

- Extreme product concentration with heavy reliance on urea production in saturated domestic market, limiting growth opportunities in traditional fertilizer segment.
- Critical vulnerability to government gas allocation and pricing policy changes, with profitability heavily dependent on continuation of subsidized gas access.
- Revenue declining from PKR 517.66 billion to forecasted PKR 475.63 billion, with actual EPS of 51.69 PKR trailing estimates of 62.87 PKR.
- Geographic concentration entirely within Pakistan exposes company to sovereign risk, macroeconomic volatility, and localized regulatory changes.
- No active investments in green or blue ammonia initiatives, positioning company behind global peers in clean energy transition and limiting access to high-growth sustainable agriculture markets.

Opportunities

- Growing Pakistani population and government focus on food security ensures sustained fertilizer demand to optimize crop yields and agricultural productivity.
- Expansion into balanced and micronutrient-rich fertilizers addressing soil health issues from decades of urea-centric policies, aligning with evolving government initiatives.
- Offshore fertilizer project investments provide geographical diversification beyond saturated domestic market and access to new revenue streams.
- Expected improved farm economics for Kharif 2026 season could drive higher fertilizer application rates and increased sales volumes.
- Technological advancements in precision agriculture, bio-fertilizers, energy-saving production methods, and capacity de-bottlenecking to enhance efficiency and margins.

Threats

- Adverse changes to gas subsidy policy or allocation would severely damage cost structure and profitability, representing single largest risk to business model.
- Geopolitical instability, particularly Middle East conflicts, disrupting global supply chains, increasing raw material costs, and impacting DAP phosphoric acid imports.
- Pakistan macroeconomic volatility including high inflation, currency depreciation, and fiscal challenges reducing farmer purchasing power and government's ability to maintain subsidies.
- Significant domestic-international urea price differential (PKR 4,400 vs 13,700-14,700) creates strong smuggling incentives, draining domestic supply and causing market shortages.
- Government policy shift toward balanced fertilization away from urea-centric subsidies could materially impact primary revenue stream if product mix not adapted quickly.

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